Conferenza.in

CA FINAL AFM

CONCEPT SHEET

COMPILER 5.0

VOLUME 1 , 2, & 3



BY CA MAYANK KOTHARI

CONCEPT SHEET - VOLUME 1

Q.	Concept Name	Page
	1. Financial Policy & Corporate Strategy	
1	Sustainable Growth	1
	2. Risk Management	
1	1 Day and 1O Days VAR	3
2	1 Day and 1O Days VAR	3
3	1O Days VAR	4
4	1O Days VAR	4
5	1O Days VAR	4
6	Weekly, Monthly, Semi-Annually	5
7	1 Year and 6 Year VAR	5
8	Allocated VAR	6
9	IO Days Portfolio VAR	6
10	5 Days Portfolio VAR	7
11	1 Day Portfolio VAR	7
12	Currency VAR	8
13	VAR-Reverse Calculation	9
14	VAR-Reverse Calculation	10
15	Z Score Probability	12
	3. Advanced Capital Budgeting	
1	NPV - Probability Approach	14
2	Expected NPV and Standard Deviation	15
3	Coefficient of Variation	16
4	Expected NPV, Standard Deviation , Coefficient of Variation	16
5	Expected NPV and Standard Deviation	17
6	Expected NPV, Dependent Cash Flows	19
7	Expected NPV, Standard Deviation , Coefficient of Variation, Dependent & Independent Cash Flows	20
8	Expected NPV and Standard Deviation (Hillers Model)	22
9	Expected NPV and Standard Deviation (Hillers Model)	24
10	Expected NPV and Standard Deviation (Hillers Model)	26
11	NPV - Risk Adjusted Discount Rate (RADR)	28
12	NPV - Risk Adjusted Discount Rate (RADR)	29
13	NPV - Certainty Equivalent Approach (CEA)	30

14	NPV - Inflation Adjusted Nominal and Real Cash Flows	32
15	NPV - Inflation Adjusted Nominal and Real Cash Flows	33
16	NPV - Inflation Adjusted Nominal and Real Cash Flows	34
17	NPV - Sensitivity Analysis	35
18	NPV - Sensitivity Analysis	36
19	NPV - Sensitivity Analysis	39
20	NPV - Sensitivity Analysis	41
21	NPV - Sensitivity Analysis	43
22	NPV - Sensitivity Analysis	45
23	NPV - Decision Tree Analysis	46
24	Equated Annual Cost (EAC)	48
25	Equated Annual Cost (EAC)	49
26	Replacement Analysis	50
27	Replacement Analysis	50
28	Replacement Analysis	53
29	Optimum Replacement Cycle	55
30	Optimum Replacement Cycle	57
31	Project IRR & Equity IRR	58
32	NPV	61
33	NPV - Incremental Cash Flow	63
34	NPV	65
35	NPV - Probability Approach	67
36	NPV - Probability Approach	67
37	Standard Deviation and Coefficient of Variation	68
38	Standard Deviation and Coefficient of Variation	69
39	NPV - Risk Adjusted Discount Rate (RADR)	71
40	NPV - Certainty Equivalent Approach (CEA)	72
41	NPV - Inflation Adjusted Nominal and Real Cash Flows	72
42	NPV - Inflation Adjusted Nominal and Real Cash Flows	74
43	NPV - Simulation Analysis	75
44	NPV - Scenario Analysis	77
45	NPV - Decision Tree Analysis	77
46	Replacement Analysis	78
47	Optimum Replacement Cycle	79
4. Security Analysis		
1	Exponential Moving Average (EMA)	81
2	Exponential Moving Average (EMA)	82
3	Exponential Moving Average (EMA)	83

4	Exponential Moving Average (EMA)	84
5	Exponential Moving Average (EMA)	86
6	Run Test	87
7	Auto-Correlation Test	89
	5. Security Valuation	
1	Walters Model	92
2	Walters Model	92
3	Walters Model	93
4	Walters Model	94
5	Walters Model & Optimum Dividend Payout	95
6	Walters Model & Optimum Dividend Payout	96
7	Walters Model & Optimum Dividend Payout	97
8	Walters Model & Optimum Dividend Payout	98
9	Walters Model & Optimum Dividend Payout	99
10	Gordon's Model	100
11	Gordon's Model	101
12	Gordon's Model	101
13	Gordon's Model & Walters Model	102
14	Gordon's Model	103
15	Gordon's Model & Walters Model	104
16	Earnings Model	105
17	Gordon's Model	106
18	Gordon's Model	106
19	Gordon's Model	107
20	Gordon's Model	108
21	Gordon's Model	109
22	Gordon's Model	110
23	Gordon's Model & Sustainable Growth Rate	111
24	Gordon's Model & Sustainable Growth Rate	113
25	Sustainable Growth Rate	115
26	Gordon's Model	116
27	Gordon's Model	117
28	Gordon's Model (Reverse Calculation)	118
29	Two Stage Dividend Discount Model	118
30	Two Stage Dividend Discount Model	119
31	Two Stage Dividend Discount Model	120
32	Two Stage Dividend Discount Model	121
33	Two Stage Dividend Discount Model	122

34	Five Stage Dividend Discount Model	123
35	Five Stage Dividend Discount Model	124
36	Five Stage Dividend Discount Model	125
37	Six Stage Dividend Discount Model	126
38	Maintaining Target Receipt by Selling Shares	127
39	Maximum Price of Equity Share	128
40	Maximum Price of Equity Share	130
41	H Model	131
42	IRR Method to Calculate Cost of Equity Ke	132
43	FCFE and FCFF	134
44	FCFE & Gordons Growth Model	136
45	CAPM	137
46	Enterprise Value	138
47	EV Multiple	138
48	EV Multiple	139
49	Value of Right & Ex Right Price of Shares	140
50	Value of Right	141
51	Value of Right (Reverse Calculation)	141
52	Value of Right & Ex Right Price of Shares	142
53	Ex Right Price of Shares	143
54	Value of Right & Ex Right Price of Shares	144
55	Value of Right & Ex Right Price of Shares	144
56	Value of Right - Rights On and Ex Right	146
57	Right Issue and Fresh Issue of Shares	147
58	Value of Right & Ex Right Price of Shares	149
59	Value of preference shares	151
60	YTM	151
61	YTM	152
62	YTM & YTC	152
63	Value of Bond and YTM	153
64	Value of Bond	154
65	Value of Bond	155
66	Value of Bond	156
67	Value of Bond and YTM	157
68	Value of Bond and Current Yield	158
69	Value of Bond and YTM	159
70	Value of Bond	160
71	Value of Bond	161
72	Value of Bond with Forward Rates	161

73	Value of Bond with Different Yields	162
74	Profit or Loss on Investment in Bond	163
75	Change in Principal and Interest Component	164
76	IRR Method of YTM	166
77	Realised YTM	167
78	Value of Bond, Duration and Volatility	168
79	Value of Bond, Duration and Volatility	170
80	Value of Bond, Duration and Volatility	172
81	Value of Bond, Duration and Volatility	173
82	Value of Bond, Duration and Volatility	175
83	Duration of Bond by Short Cut Method	176
84	Value of Bond, Duration and Volatility	177
85	Duration of Bond	179
86	Current Yield, YTM, Duration and Realised Yield	181
87	Duration of Bond (Reverse Calculation)	182
88	Duration of Bond	184
89	Value of Portfolio of Bond and Preference Shares	185
90	Value of Portfolio of Bond and Preference Shares	186
91	Convexity	187
92	Convexity	187
93	Convexity	188
94	Convexity	188
95	Bond Immunisation	190
96	Bond Immunisation	192
97	Value of Convertible Debentures	193
98	Minimum Price of the Convertible Bond	194
99	Convertible Bonds	195
100	Convertible Preference Shares	196
101	Convertible Bonds	197
102	Convertible Bonds	198
103	Convertible Bonds	199
104	Convertible Bonds	199
105	Break Even MP & Ideal Conversion Period of Bonds	201
106	Convertible Bonds & Duration	202
107	Spread of Yield	203
108	Bond Refunding	204
109	Bond Refunding	205
110	Bond Refunding	206
111	Bond Refunding	207

112	Dirty Price and Clean Price of Bond	209
113	Interest Coverage Ratio, Capital Gearing Ratio	210
114	Maximum Debt that can be issued	212
115	Change in Interest Coverage Ratio	213
116	Money Market Instrument - Treasury Bill	215
117	Money Market Instrument - Treasury Bill	215
118	Money Market Instrument - Treasury Bill	215
119	Money Market Instrument	216
120	Money Market Instrument	216
121	Money Market Instrument - Commercial paper	217
122	Money Market Instrument - Commercial paper	218
123	Money Market Instrument - Commercial paper	219
124	Money Market Instrument - Commercial paper	220
125	Money Market Instrument - Commercial paper	221
126	Money Market Instrument - Commercial paper	222
127	Money Market Instrument - Commercial paper	222
128	Money Market Instrument - Certificate of Deposit	223
129	Money Market Instrument - Certificate of Deposit	223
130	Bond Value & Bond Equivalent Yield	224
131	Bond Value & Bond Equivalent Yield	225
132	Repo - Dirty Price , Haircut Adjustment	226
133	Repo - Amount of Borrowing and Buyback Price	227
134	Repo - Dirty Price, First Leg & Second Leg(Repayment)	227
135	Repo - Dirty Price, First Leg & Second Leg(Repayment)	228
136	Repo Rate, Dirty Price, Clean Price	229
6. Portfolio Management		
1	Expected Return and Standard Deviation	230
2	Expected Return & Standard Deviation, Buy Back of Equity Share	232
3	Portfolio Return and Portfolio Risk	233
4	Return and Risk of Security and Portfolio	234
5	Portfolio Risk when R = 1, 0, -1	235
6	Selection of High Return and Low Risk Securities	236
7	Risk Reduction through Diversification	237
8	Standard Deviation of Portfolio of Three Securities	238
9	Return, Standard Deviation, Covariance, Correlation and Portfolio Risk	239
10	Risk and Return of Portfolio	240
11	Risk and Return of Portfolio	241

12	Return of Portfolio	243
13	Risk and Return of Portfolio	244
14	Value Added or Active Return of Portfolio	247
15	Covariance & Correlation Coefficient	248
16	Expected Return, Variance, Standard Deviation and Beta	250
17	Beta using Correlation Analysis	251
18	Beta using Correlation Analysis	252
19	Beta Using Regression Analysis	253
20	Beta Using Regression Analysis	254
21	CAPM	255
22	CAPM	256
23	CAPM	256
24	CAPM	257
25	CAPM	257
26	Beta and CAPM	258
27	Beta and CAPM	258
28	Beta and CAPM	259
29	CAPM and Gordon's Growth Model	260
30	CAPM and Gordon's Growth Model	261
31	CAPM and Gordon's Growth Model	262
32	CAPM and Gordon's Growth Model	263
33	CAPM and Gordon's Growth Model	263
34	CAPM and Gordon's Growth Model	265
35	CAPM and Gordon's Growth Model	265
36	CAPM and Gordon's Growth Model	266
37	CAPM and Two Stage Dividend Discount Model	267
38	CAPM, Dividend and Earnings Growth Model	268
39	CAPM with Inflation and Gordon's Growth Model	269
40	CAPM	270
41	CAPM	271
42	CAPM	273
43	CAPM, Beta & Change in Composition of Portfolio	274
44	CAPM, Beta & Change in Composition of Portfolio	275
45	CAPM, Beta & Change in Composition of Portfolio	276
46	CAPM	278
47	CAPM	279
48	CAPM	280
49	Portfolio Return and Portfolio Beta	281
50	CAPM and Portfolio Beta	283

51	Portfolio Beta	284
52	Portfolio Beta	285
53	Portfolio Beta	286
54	Portfolio Return and Portfolio Beta	288
55	CAPM and Portfolio Beta	289
56	CAPM & Beta	290
57	CAPM & Beta	291
58	CAPM & Beta	292
59	CAPM and Portfolio Beta	294
60	CAPM and Portfolio Beta	295
61	CAPM	296
62	Reducing & Increasing Portfolio Beta	297
63	Reducing & Increasing Portfolio Beta	298
64	Reducing Portfolio Beta	301
65	Return due to Net Selectivity, Returns due to Higher Risk Assumed	302
66	Arbitrage Pricing Theory (APT)	303
67	Arbitrage Pricing Theory (APT)	304
68	Arbitrage Pricing Theory (APT)	304
69	Arbitrage Pricing Theory (APT)	305
70	Arbitrage Pricing Theory (APT)	306
71	Equation of Line	307
72	CAPM and Arbitrage Pricing Theory (APT)	308
73	Arbitrage Pricing Theory (APT)	310
74	Sharpe's Index Model (SIM)	312
75	Sharpe's Index Model (SIM)	313
76	Sharpe's Index Model (SIM)	314
77	Sharpe's Index Model (SIM)	315
78	Sharpe's Index Model (SIM)	316
79	Market Lines - Capital Market Line	317
80	Market Lines - Security Market Line	318
81	Market Lines - Security Market Line	318
82	Beta, Alpha and Security Market Line	319
83	Beta, Alpha and Security Market Line	320
84	Alpha and Beta of Security	322
85	Market Lines - Security Characteristics Line	324
86	Security Characteristics Line and Systematic and Unsystematic Line	326
87	Security Characteristics Line and Systematic and Unsystematic Line	327

88	Portfolio Evaluation Measures - Sharpe and Treynor	328
89	Portfolio Evaluation Measures - Jensen's Alpha	329
90	Portfolio Evaluation Measures - Sharpe and Treynor	330
91	Portfolio Evaluation Measures - Sharpe, Treynor, Jensen's Alpha	332
92	Portfolio Evaluation Measures - Sharpe and Treynor	333
93	11 Concepts in 1 Question	334
94	Portfolio Return and Portfolio Risk	337
95	Optimum Portfolio Theory	338
96	Portfolio Rebalancing Theory - CPPI	339
97	Portfolio Rebalancing Theory - Buy & Hold Policy, Constant Ratio Plan	340
98	Portfolio Rebalancing Theory - Buy & Hold Policy, Constant Ratio Plan	342
99	Portfolio Rebalancing Theory - Constant Ratio Plan	343
100	Minimum Variance (Risk) Portfolio	344
101	Minimum Variance (Risk) Portfolio	346
102	Minimum Variance (Risk) Portfolio	348
103	Sharpe's Index Model (SIM)	348
104	Stock Lending Scheme	349
8. Mutual Funds		
1	Holding Period Return	351
2	Holding Period Return on Reinvestment of Dividend and CG	351
3	Holding Period Return on Reinvestment of Dividend and CG	352
4	Holding Period Return	353
5	NAV	353
6	Front End and Back End Load	354
7	Entry Load (Front End Load)	355
8	Mutual Funds Earnings	355
9	Mutual Funds Earnings	356
10	Mutual Funds Earnings & Investors Benefit	356
11	Effective Yield	357
12	Effective Yield	358
13	Effective Yield	359
14	Effective Yield (Reverse Calculation)	360
15	Amount Invested and Units Purchased	361
16	NAV (Reverse Calculation)	362
17	Dividend Reinvestment and Bonus Plan	364
18	Dividend Reinvestment and Bonus Plan	365

19	Dividend Reinvestment, Bonus & Growth Plan	367
20	Dividend Reinvestment (Reverse Calculation)	369
21	Dividend Reinvestment and Bonus Plan (Reverse Calculation)	371
22	NAV	373
23	NAV	375
24	NAV	376
25	NAV	377
26	NAV	379
27	NAV	379
28	NAV	381
29	NAV	382
30	NAV	383
31	NAV	386
32	NAV	388
33	NAV (Reverse Calculation)	389
34	NAV	390
35	NAV	391
36	NAV	392
37	NAV	393
38	NAV using Sharpe Ratio, Tryenor Ratio, Standard Deviation	394
39	NAV using Sharpe Ratio, Tryenor Ratio, Standard Deviation	396
40	Fund Manager's Fees	397
41	Return Before Management Expenses	398
42	Dividend Equalization Method	399
43	NAV (Reverse Calculation)	400
	CONCEPT SHEET - VOLUME 2	
	9. Derivatives Analysis & Valuation	
1	Short and Long Position in Futures	1
2	Forward Pricing	1
3	Forward Pricing	2
4	Forward Pricing	2
5	Forward Pricing	2
6	Futures Pricing	3
7	Futures Pricing	4
8	Futures Pricing	4
9	Contango and Backwardation	5
10	Forward Pricing	6
11	Initial Margin and Mark to Market	7

12	Initial Margin and Mark to Market	8
13	Initial Margin and Mark to Market	9
14	Initial Margin and Mark to Market	11
15	Initial Margin and Mark to Market	12
16	Open Interest	13
17	Open Interest	13
18	Open Interest	14
19	Return on Short Selling	15
20	Arbitrage with Forward Contract	15
21	Arbitrage with Forward Contract	16
22	Arbitrage with Futures Contract	16
23	Arbitrage with Futures Contract	17
24	Arbitrage with Futures Contract	18
25	Arbitrage with Futures Contract	20
26	Hedging with Futures	20
27	Hedging with Futures	21
28	Hedging with Futures	22
29	Hedging with Futures	22
30	Hedging with Futures	23
31	Hedging with Futures	24
32	Hedging with Futures	26
33	Hedging with Futures	28
34	Hedging with Futures (Reverse Calculation)	30
35	Hedging with Futures	31
36	Reducing & Increasing Portfolio Beta	32
37	Reducing Portfolio Beta	33
38	Reducing Portfolio Beta	34
39	Hedge Ratio	36
40	Hedge Ratio	37
41	Hedging with Futures	38
42	Hedging with Futures	38
43	Hedging with Futures	39
44	Hedging with Futures	40
45	Profit and Loss on Option Settlement	41
46	Profit and Loss on Option Settlement	41
47	Profit and Loss on Option Settlement	42
48	Profit and Loss on Option Settlement	43
49	Profit and Loss on Option Settlement	43
50	Profit and Loss on Option Settlement	44

51	Profit and Loss on Option Settlement	45
52	Profit and Loss on Option Settlement	46
53	Hedging with Options	47
54	Value of call Option	48
55	Value of call Option	49
56	Break Even Point in Options	50
57	Binomial Model	50
58	Binomial Model	51
59	Binomial Model	52
60	Two Period Binomial Model	53
61	Two Period Binomial Model	54
62	Two Period Binomial Model	55
63	Black-Scholes Model	56
64	Black-Scholes Model	57
65	Black-Scholes Model	60
66	Portfolio Replicating Model	62
67	Portfolio Replicating Model	63
68	Index Swap	64
69	Real Options - Growth Option	64
70	Real Options - Abandonment Option	66
71	Real Options - Timing Option	67
72	Real Options - Timing Option	68
10. Interest Rate Risk Management		
1	Forward Rate Agreement (FRA)	70
2	Forward Rate Agreement (FRA)	71
3	Forward Rate Agreement (FRA)	73
4	Forward Rate Agreement (FRA)	73
5	Calculating Theoretical FRA	74
6	Calculating Theoretical FRA, YTM & Market Price	75
7	Calculating Theoretical FRA	76
8	Calculating Theoretical FRA	77
9	Calculating Theoretical FRA	78
10	Calculating Theoretical FRA & Arbitrage with FRA	79
11	Calculating Theoretical FRA & Interest Rate Guarantee	80
12	Forward Rate Agreement (FRA) & Interest Rate Futures (IRF)	81
13	Forward Rate Agreement (FRA) & Interest Rate Futures (IRF)	83
14	Interest Rate Futures (IRF)	84
15	Interest Rate Futures (IRF)	85

16	Interest Rate Futures (IRF)	86
17	Swapping Housing Loan	87
18	Arbitrage with IRF	88
19	Cheapest to Deliver Bond	89
20	Cheapest to Deliver Bond	89
21	Cheapest to Deliver Bond	90
22	Cap Option	91
23	Cap Option	91
24	Cap Option	93
25	Cap Option	94
26	Cap Option	96
27	Cap Option & Collar Option	97
28	Interest Rate Swap	98
29	Interest Rate Swap	99
30	Interest Rate Swap	100
31	Interest Rate Swap	101
32	Interest Rate Swap	102
33	Interest Rate Swap	103
34	Interest Rate Swap	104
35	Interest Rate Swap	105
36	Interest Rate Swap - Default	107
37	Interest Rate Swap	107
11. Foreign Exchange Exposure & Risk Management		
1	Strategies for Exposure Management	108
2	Return on Foreign Currency Investment	109
3	Expected Spot Rate	110
4	Cross Rates	110
5	Time Value of Money & Currency Value Fluctuation	112
6	Speculation with Forward Contract	112
7	Net Exposure of Foreign Currency	113
8	Return for Foreign and Domestic Investor	113
9	Cover Rate	115
10	Cover Rate	115
11	Cover Rate	116
12	Cross Rates	117
13	Gain or Loss on Cross Currency Transaction	118
14	Gain or Loss on Cross Currency Transaction	118
15	Cross Rates	119

16	Cross Rates	120
17	Discount on Forward Contract	121
18	Appreciation and Depreciation on Forward Contract	121
19	Broken Period Forward Rate	122
20	Interest Rate Parity Theory (IRPT)	123
21	Interest Rate Parity Theory (IRPT)	124
22	Interest Rate Parity Theory (IRPT)	124
23	Interest Rate Parity Theory (IRPT)	125
24	Purchasing Power Parity Theory (PPPT)	126
25	Purchasing Power Parity Theory (PPPT)	126
26	Appreciation & Depreciation, PPPT & Expected Return	127
27	Appreciation & Depreciation & Expected Return	128
28	Interest Rate Parity Theory (IRPT)	129
29	Interest Rate Differential	131
30	Currency Arbitrage with Cross Rates	132
31	Currency Arbitrage with Cross Rates	132
32	Currency Arbitrage with Cross Rates	133
33	Currency Arbitrage with Cross Rates	134
34	Currency Arbitrage with Interest Rate Differential	134
35	Currency Arbitrage with Interest Rate Differential	135
36	Currency Arbitrage with Interest Rate Differential	136
37	Currency Arbitrage with Interest Rate Differential	137
38	Currency Arbitrage with Interest Rate Differential	139
39	Currency Arbitrage with Interest Rate Differential	139
40	Currency Arbitrage with Interest Rate Differential	140
41	Theoretical Forward Rates	142
42	Transaction Exposure	143
43	Transaction and Economic Exposure	144
44	Hedging Foreign Currency Exposure	146
45	Arbitrage with Currency Futures	147
46	Hedging with Currency Futures	147
47	Leading or Lagging	148
48	Investment (Borrowing) of Surplus (Deficit) Foreign Currency	149
49	Investment (Borrowing) of Surplus (Deficit) Foreign Currency	150
50	Investment (Borrowing) of Surplus (Deficit) Foreign Currency	151
51	Investment (Borrowing) of Surplus (Deficit) Foreign Currency	153
52	Investment (Borrowing) of Foreign Currency	155
53	Investment in Equity or Fixed Interest Bearing Security	156
54	Investment in Equity or Fixed Interest Bearing Security	157

55	Letter of Credit for Imports	159
56	Letter of Credit & EEFC	160
57	Leading or Lagging	161
58	Leading or Lagging	162
59	Leading or Lagging	163
60	Leading or Lagging	163
61	Leading or Lagging	164
62	Leading or Lagging	165
63	Hedging with Forward Contract	167
64	Hedging with Forward Contract	168
65	Hedging with Forward Contract	169
66	Hedging with Forward Contract	170
67	Hedging with Forward Contract	171
68	Hedging with Forward Contract	171
69	Hedging with Forward Contract	172
70	Hedging with Forward Contract	173
71	Hedging with Forward Contract	175
72	Hedging with Forward Contract	176
73	Hedging with Different Foreign Currency Invoicing	176
74	Hedging with Home Currency Invoicing, Forward or Futures Contract	177
75	Hedging with Home Currency Invoicing, Forward or Futures Contract	179
76	Hedging with Forward or Futures Contract	181
77	Hedging with Forward or Futures Contract	182
78	Hedging with Forward or Options Contract	183
79	Hedging with Forward or Options Contract	184
80	Hedging with Forward or Options Contract	185
81	Hedging in Money Market	187
82	Hedging with Forward, Options or Money Market	187
83	Hedging with Forward, Options or Money Market	189
84	Hedging with Forward, Options or Money Market	190
85	Hedging with Forward or Money Market	192
86	Hedging with Forward or Money Market	193
87	Hedging with Forward or Money Market	194
88	Hedging with Forward or Money Market	195
89	Currency Swap	197
90	Currency Swap	199
91	Non Deliverable Forward Contract	200

92	Forward Contract - Delivery on Due Date	202
93	Forward Contract - Cancellation before Due Date	202
94	Forward Contract - Cancellation before Due Date	203
95	Forward Contract - Cancellation before Due Date	203
96	Forward Contract - Cancellation on Due Date	204
97	Forward Contract - Extension on Due Date	205
98	Forward Contract - Extension on Due Date	206
99	Forward Contract - Extension on Due Date	206
100	Forward Contract - Extension before Due Date	207
101	Forward Contract - Early Delivery (Delivery before due date)	208
102	Forward Contract - Early Delivery (Delivery before due date)	209
103	Forward Contract - Early Delivery (Delivery before due date)	210
104	Forward Contract - Early Delivery (Delivery before due date)	211
105	Forward Contract - Early Delivery (Delivery before due date)	212
106	Forward Contract - Late Extension (Extension after due date)	214
107	Forward Contract - Late Extension (Extension after due date)	216
108	Forward Contract - Late Extension (Extension after due date)	218
109	Forward Contract - Late Extension (Extension after due date)	220
110	Forward Contract - Late Extension (Extension after due date)	222
111	Nostro, Vostro & Loro Account	224
112	Nostro, Vostro & Loro Account	225
113	Nostro, Vostro & Loro Account	225
114	Nostro, Vostro & Loro Account	226
115	Nostro, Vostro & Loro Account	227
12. International Financial Management		
1	Global Depositary Receipts	229
2	Global Depositary Receipts	229
3	Global Depositary Receipts	230
4	Foreign Company Investing in India	231
5	Issuing Equity Shares for Expansion	233
6	Foreign Currency Approach - NPV	234
7	Foreign Currency Approach - NPV	235
8	Home Currency Approach - NPV	237
9	Home Currency and Foreign Currency Approach - NPV	238
10	Home Currency Approach - Inflation, Nominal & Real Cash Flows - NPV	239
11	Home Currency Approach - Inflation, Nominal & Real Cash Flows - NPV, Modified Internal Rate of Return (MIRR)	241

12	Home Currency Approach - Inflation, Nominal & Real Cash Flows - NPV,	242
13	Foreign Currency Approach - Annual CFAT, NPV	244
14	Indian Company investing in Foreign Country - **Adjusted NPV**	245
15	Indian Company investing in Foreign Country (GDR) - NPV	247
16	Foreign Company Investing in India - NPV	250
17	Foreign Company Investing in India - NPV	252
18	Foreign Company Investing in India - NPV	254
19	Foreign Company Investing in India - NPV	257
20	External Commercial Borrowing (ECB)	260
21	Indian Company investing in Foreign Country - NPV	262
13. Business Valuation		
1	Valuation using PE Ratio, Dividend Model, Book Value, Net Realisable Value	265
2	Range of Valuation - Price Earning Multiple	265
3	Range of Valuation - Market Price and Discounted Cash Flows	266
4	Separating Equity and Debt	267
5	Earnings Capitalisation Method	268
6	Earnings Capitalisation Method	270
7	Earnings Capitalisation Method	271
8	Earnings Capitalisation & Net Asset Value Method	272
9	Earnings Capitalisation & Net Asset Value Method	274
10	Discounted Cash Flow and Net Asset Value Method	275
11	Net Worth and Dividend Valuation Model	277
12	Net Worth and Dividend Valuation Model	280
13	Chop Shop Approach	282
14	Chop Shop Approach	284
15	Value of Firm	285
16	Value of Firm	285
17	Value of Firm	286
18	Value of Firm	287
19	Value of Firm	288
20	Value of Firm	290
21	Value of Share using Free Cash Flow to Equity	292
22	Value of Share using Free Cash Flow to Equity	293
23	Value of Strategy Based on Present Value of Cash Flows	294
24	Value of Strategy Based on Present Value of Cash Flows	295

25	Value of Strategy Based on Present Value of Cash Flows	297
26	Value of Firm & Value of Equity	299
27	Value of Firm & Value of Equity	303
28	Enterprise Value	306
29	Economic Value Added (EVA)	307
30	Economic Value Added (EVA)	308
31	Economic Value Added (EVA)	309
32	Economic Value Added (EVA)	310
33	Economic Value Added (EVA)	311
34	Economic Value Added (EVA)	312
35	Economic Value Added (EVA)	313
36	Economic Value Added (EVA)	313
37	Economic Value Added (EVA)	314
38	Economic Value Added (EVA) & Market Value Added (MVA)	315
39	Economic Value Added (EVA) & Market Value Added (MVA)	317
40	Economic Value Added (EVA)	318
41	Economic Value Added (EVA)	319
42	Economic Value Added (EVA)	321
43	Economic Value Added (EVA)	323
44	Economic Value Added (EVA)	324
45	Economic Value Added (EVA) (Reverse Calculation)	325
46	Relative Valuation	326
14. Mergers, Acquisitions and Corporate Restructuring		
1	Merger - Cash Payment	328
2	Post Merger EPS; Exchange Ratio	328
3	Post Merger EPS; Exchange Ratio	330
4	Post Merger EPS, PE, MP; Exchange Ratio	331
5	Post Merger EPS	333
6	Post Merger EPS & Impact on EPS	334
7	Market Value, Post Merger MP, Impact on MP	335
8	Post Merger EPS, PE, MP; Exchange Ratio	337
9	Market Value, Post Merger MP, Impact on MP	338
10	Post Merger PE, MP, No. of Shares, Market Value	339
11	Post Merger EPS, MP, Market Value	340
12	Post Merger EPS, MP, Market Value; Swap Ratio	341
13	Post Merger EPS, Change in EPS, Post Merger Market Value, Gain due to merger	343
14	Swap Ratio, No. Of shares to issue, Post Merger EPS, MP	344

15	True Cost of Merger - Equity Based	346
16	True Cost of Merger - Equity Based	347
17	True Cost of Merger - Cash & Equity Based	347
18	True Cost of Merger - Cash & Equity Based	348
19	Impact of Merger	350
20	Buy Back of Equity Shares	351
21	Buy Back of Equity Shares	352
22	Buy Back of Equity Shares	353
23	Buy Back of Equity Shares	354
24	Buy Back of Equity Shares	355
25	EPS, PE Ratio, BVPS, ROE, Growth Rate, Post Merger - EPS, MP, Gain or Loss	357
26	EPS, PE Ratio, BVPS, ROE, Growth Rate, Post Merger - EPS, MP, Gain or Loss	359
27	Gain or Loss due to Merger (Equity and Cash)	361
28	Post Merger Market Price and Market Value	362
29	Benefit of Merger	364
30	Purchase Consideration, No. Of Shares, Post Merger EPS, MP	365
31	Purchase Consideration, No. Of Shares, Post Merger EPS, MP	368
32	Swap Ratio, Promoters Holding, Post Merger EPS, MP, Free Float Market Cap	370
33	Swap Ratio, Promoters Holding, Post Merger EPS, MP, Free Float Market Cap	371
34	Swap Ratio, Promoters Holding, Post Merger EPS, MP, Free Float Market Cap	373
35	Swap Ratio, Book Value, EPS, MP	375
36	Swap Ratio, Promoters Holding, Post Merger EPS, MP, Free Float Market Cap	377
37	PE Ratio, Bonus Ratio, Market Price and Free Float Market Capitalisation	379
38	Bonus Ratio, Market Price and Free Float Market Capitalisation	380
39	Swap Ratio, Post Merger EPS, Market Price, Gain or Loss	382
40	Exchange Ratio, Market Price and Book Value	384
41	Swap Ratio, CAR & Gross NPA, Balance Sheet After Merger	386
42	Swap Ratio, CAR & Gross NPA, Balance Sheet After Merger	388
43	Swap Ratio and Balance Sheet After Merger	390
44	Maximum and Minimum Exchange Ratio	393
45	Maximum and Minimum Exchange Ratio	394
46	Maximum Exchange Ratio	395

47	Maximum Exchange Ratio	396
48	Maximum Exchange Ratio	398
49	Maximum Exchange Ratio	400
50	Maximum and Minimum Share Price	402
51	Maximum and Minimum Share Price	403
52	NPV of the proposed merger	405
53	Before and After Merger Value of Company	406
54	Return on Shares before and after merger, Impact of Merger	407
55	Maximum Share Price	409
56	Divestiture Decision	410
57	Divestiture Decision	410
58	Growth rate of Equity Funds	411
59	Corporate Restructuring	413
60	Corporate Restructuring	416
61	Geared and Ungeared Beta	417
62	Geared and Ungeared Beta	418
63	Geared and Ungeared Beta	419
64	Geared and Ungeared Beta	421
65	Capital Structure Decision	423
66	Capital Structure Decision	425
	15. Startup Finance	
1	NPV of the Venture Capital Project	427

CONCEPT SHEET - VOLUME 3

Q. No.	Question	Page
	Chapter 1: Financial Policy & Corporate Strategy	
1	Discuss the Roll of CFO	1
2	Explain - Processes of Strategic Decision Making. or Write short note on need for Financial Policy and Corporate Strategy.	2
3	What are the fundamental elements of a strategic financial framework, and how do they contribute to maximizing shareholder wealth?	2
4	What are the functions of Strategic Financial Management?	3
5	Discuss briefly the key decisions falling within the scope of financial strategy. Or What are the key decisions falling within the scope of financial strategy?	3
6	Enumerate 'Strategy' at different levels of hierarchy.	4

7	Discuss the three basic questions that corporate-level strategy should answer and explain how each contributes to the successful implementation of a strategy.	5
8	Write a short note on Financial Planning. Or Discuss the three major components of financial planning and how they contribute to achieving financial goals.	5
9	Interface of Financial Policy and Strategic Management.	7
10	How financial goals can be balanced vis-à-vis sustainable growth? Or Often, a conflict can arise if growth objectives are not consistent with the value of the organization's sustainable growth. Explain.	8
11	What makes an organization sustainable? State the specific steps. OR Explain the various requirements that makes an organisation sustainable.	9
12	What makes an organization financially sustainable? Or Explain the traits that an organization should have to make itself financially sustainable.	10
13	Explain the concept of Sustainable Growth Rate and also state assumptions of Sustainable growth model.	10
14	"Sustainable growth is important to enterprise long-term development". Explain this statement in context of planning healthy corporate growth.	11
15	Are Sustainable Growth Rate and Internal Growth Rate being same concepts? Explain.	12
16	Explain how the sustainable growth model assists in managing the risks associated with additional financing. What options do mature firms have when their actual growth rates are less than their sustainable growth rates?	12
Chapter 2: Risk Management		
1	Explain different types of risk faced by an organization. Risks are inherent and integral part of the business. Discuss	14
2	Explain different types of Financial Risk. Or List out the five methods for Identification and Management of Financial Risk. What are the parameters to identify the currency risk?	16
3	Explain how an organization interested in making investment in foreign country can assess Country Risk and mitigate this risk.	20
4	Explain the main risk that can be faced by an overseas investor.	21
5	Explain briefly the parameters to identify the currency risk.	21
6	Evaluate the major risks to which TRC Ltd. is exposed to.	22

7	What is Financial Risk? Explain how it can be viewed from different point of views. How do you evaluate the Financial Risk?	23
8	Describe Value at Risk and its application. Or Explain the Significance of VAR.	24
9	Explain the term 'Cyber Risk'.	25
	Chapter 3: Advanced Capital Budgeting Decisions	
1	Investment projects are exposed to various types of factors, what are those factors	26
2	Discuss the Impact of Inflation on Capital Budgeting Decisions	26
3	Discuss the Impact of Change in Technology on Capital Budgeting Decisions	26
4	How to Incorporate the Impact of Change in Technology in Capital Budgeting Decisions	27
5	Discuss the Impact of Change in Government Policies on Capital Budgeting Decisions	27
6	Investment projects are exposed to various degrees of risk. Discuss	28
7	What are the main Reasons for adjustment of Risk in Capital Budgeting decisions?	28
8	Discuss the internal and external factors that affect capital budgeting decisions. Provide examples for each type of factor and explain their potential impact on investment projects.	28
9	Explain the importance of variance and standard deviation in capital budgeting decisions. How do these concepts help in assessing the risk and profitability of investment proposals?	30
10	Discuss briefly the concept of Coefficient of Variation	31
11	Write Short Notes on Risk Adjusted Discount Rate (RADR) and Certainty Equivalent Approach	31
12	What are the advantages and disadvantages of Certainty Equivalent Method?	33
13	Certainty Equivalent Method is superior to Risk Adjusted Discount Rate Method. Explain	33
14	Write Short Notes on Sensitivity Analysis	33
15	What are the advantages and disadvantages of Sensitivity Analysis	34
16	Write Short Notes on Scenario Analysis	34
17	Differentiate between Sensitivity Analysis and Scenario Analysis	35
18	Write Short Notes on Simulation Analysis	35

19	What are the advantages and disadvantages of Simulation Analysis	36
20	Write short notes on Decision Tree Analysis	37
21	Write short notes on Adjusted Present Value	37
22	Write a note on project appraisal under inflationary conditions.	38
23	Explain the concept 'Zero date of a Project' in project management.	39
Chapter 4: Security Analysis		
1	What are the two main approaches to Security Analysis?	40
2	What is the difference between Fundamental & Technical Analysis?	40
3	What are the key variables an investor must monitor for fundamental analysis?	41
4	Write Short notes on Company Analysis & factors affecting company analysis.	41
5	What are the techniques used in Company Analysis?	42
6	Describe the factors affecting Industry Analysis. Write Short notes on Industry Analysis and factors affecting industry analysis.	42
7	What are the techniques used in Industry Analysis?	43
8	Explain the factors affecting Economic Analysis. Write Short Note on economic analysis & factors affecting economic analysis.	43
9	Discuss the various techniques used in economic analysis. Or Explain the various indicators that can be used to assess the performance of an economy.	44
10	Write short notes on Technical Analysis.	45
11	Describe the concept of 'Evaluation of Technical Analysis'.	45
12	Technical Analysis is based on the following assumptions. Explain.	46
13	Technical analysis is based on which of the three principles? Or Describe briefly on which principles Technical Analysis is based	47
14	In a rational, well ordered and efficient market, technical analysis may not work very well". Is it true? List out the reasons for this statement regarding Technical Analysis.	48
15	Explain Dow Theory.	48
16	Explain Timing of Investment Decisions as per Dow Jones Theory.	49

17	Explain Elliot Wave Theory.	50
18	Explain Random Walk theory.	51
19	What conclusions were drawn from the Random Walk Theory that led to the evolution of Efficient Market Hypothesis	52
20	Explain the Efficient Market Theory and what are major misconceptions about this theory?	52
21	Explain three forms of Efficient Market Hypothesis	53
22	Mention the various challenges to the Efficient Market Theory.	54
23	Explain the different levels or forms of Efficient Market Theory.	55
24	Discuss the Empirical Evidence on Weak form Efficient Market Theory	56
25	Discuss the Empirical Evidence on Semi-Strong form Efficient Market Theory	57
26	Discuss the Empirical Evidence on Strong form Efficient Market Theory	57
27	Explain various "Market Indicators".	58
28	In an efficient market, technical analysis may not work perfectly. However, with imperfections, inefficiencies and irrationalities, which characterizes the real world, technical analysis may be helpful. Critically analyze the statement.	60
29	Write short note on Anticipatory Surveys.	61
30	Write short note on Economic Model Building Approach.	61
31	Explain "Charting Techniques".	62
32	Explain "Line Chart".	62
33	Explain "Bar Chart".	63
34	Explain "Japanese Candlestick Chart"	64
35	Explain "Point and Figure" Chart.	65
36	Explain in brief "Support and Resistance" level.	65
37	Write the names of the different price patterns.	66
38	Write short notes on "Channel" Price pattern	67
39	Write short notes on "Wedge" pattern	67
40	Write short notes on "Head and Shoulder" pattern	68
41	Write short notes on	69
42	Write short notes on "Gaps" pattern	71
43	Explain Buy and Sell Signals Provided by Moving Average Analysis	72
44	Write Short Notes on Moving Averages	73

Chapter 5: Security Valuation		
1	Why is understanding asset valuation important for investment decisions, and what are the core principles of asset valuation?	75
2	Briefly discuss following concepts used in Security Valuation	75
3	How the discount rate is selected in equity valuation, and why are nominal cash flows and discount rates used?	76
4	What are the approaches used in Equity Valuation?	77
5	Discuss the Dividend Based Model for Equity Valuation	77
6	Discuss the Earnings Based Model for Equity Valuation	79
7	Discuss the Cash Flow Model of Equity Valuation	80
8	Discuss the FCFF Model of Equity Valuation	81
9	Discuss the FCFE Model of Equity Valuation	82
10	Why FCFE Model of Equity Valuation is better than Dividend Based Model?	82
11	What is Enterprise Value?	83
12	Discuss Enterprise Value Multiples. What is an Enterprise Multiple?	84
13	Write short notes on Zero Coupon Bonds.	85
14	Explain factors that affect Bond's Duration	85
15	Why should the duration of a coupon carrying bond always be less than the time to its maturity?	86
16	Discuss the Structure of Bonds.	86
17	What is the Bond Value Theorem?	87
18	What is Convexity and how it is adjusted with the duration?	87
19	Modified Duration is a proxy not an accurate measure of change in price of a Bond due to change interest rate. Discuss.	88
20	Name the types of Term Structure Theories?	89
21	What is Bond Immunization?	90
22	Explain the Effects of Bond Immunization?	90
23	A portfolio is immunized when its duration equals the investor's time horizon. Explain	91
24	How to Value Warrants?	92
25	Write Short Notes on Money Market Instruments	93
26	Define any four Pre-conditions for an Efficient Money Market.	93

27	What is money market? What are its features? What kind of inefficiencies it is suffering from?	94
28	Distinguish between Money market and Capital Market.	95
29	Write a short note on Call/Notice Money	96
30	Write a short note on Treasury Bills	96
31	Write a short note on Commercial Paper.	97
32	Write a short note on Certificate of Deposit.	97
33	What are a Repo and a Reverse Repo? OR Repo and a Reverse Repo are important tools in the hands of Reserve Bank of India to manage liquidity. Discuss.	98
34	Differentiate between Repo and Reverse Repo or What are the major differences between Repo and Reverse?	99
35	Discuss the role of Valuers OR Discuss the statutory purposes for which valuations by valuers are required in various financial and business contexts. What are some key scenarios where valuation is mandated by law?	99
36	Discuss the responsibilities of Valuers OR Write a short note on Model Code of Conduct for Registered Valuers	100
37	What precautions should a valuer take before accepting any valuation assignment?	101
Chapter 6: Portfolio Management		
1	Write a short note on Process of Portfolio Management	103
2	Write short note on Factors affecting investment decisions in portfolio management.	104
3	Briefly explain the objectives of "Portfolio Management".	104
4	Write short note on Traditional Approach of Portfolio Management	105
5	Risks are inherent and integral part of the market. Discuss.	106
6	Discuss the various kinds of Systematic and Unsystematic risk?	106
7	Distinguish between Systematic Risk and Unsystematic Risk.	108
8	Write short note on Diversification in Portfolio Management	108
9	Write a short note on Modern Portfolio Theory or Write a short note on Markowitz model of Risk Return Optimization.	109
10	State the assumptions of Markowitz Model or Modern Portfolio Theory	109
11	What is Efficient Frontier?	110
12	Interpret the Capital Asset Pricing Model (CAPM) and its relevant assumptions.	111

13	What are the Advantages and Limitations of CAPM?	112
14	Write a short note on Arbitrage Pricing Theory.	113
15	Write a short note on Portfolio Evaluation Measures or How to measure the performance of a portfolio or security? or Write a short note on Sharpe Ratio, Treynor Ratio, Jensen's Alpha	113
16	Write a short note on Portfolio Rebalancing Theories or Write a short note on Buy and Hold Policy or Write a short note on Constant Mix Policy or Constant Ratio Plan	114
17	Explain the strategy of Portfolio rebalancing under which the value of a portfolio shall not below a specified value in normal market conditions.	116
18	Make a comparative evaluation of Portfolio Rebalancing Theories	116
19	Write a short note on Active and Passive Portfolio Strategy	116
20	Explain different types of Asset Allocation Strategies.	119
21	Explain the process involved in Fixed Income Portfolio.	120
22	What methods are involved to calculate the return of Fixed Income Portfolio?	120
23	Discuss about the fixed income portfolio management strategy.	121
24	Write short note on factors affecting decision of investment in fixed income securities.	123
25	What is Alternative Investment?	123
26	What are the features or characteristics of Alternative Investment?	124
27	What are the different types of Alternative Investments?	124
28	What makes the Real Estate Valuation complex?	125
29	What approaches are used for Real Estate Valuation?	125
30	Explain Asset Allocation Strategies.	125
31	Discuss the various forms of gold investment available to investors, highlighting their advantages and limitations compared to traditional gold jewellery investment.	126
32	What is Distressed Securities?	127
33	What types of risk has to be analysed before investing in Distressed Securities?	127
34	Write short notes on Capital Market Theory	128

Chapter 7: Securitization

1	Explain Debt/Asset Securitization	131
2	Explain the various features of Securitization.. OR "The process of securitization can be viewed as process of creation of additional financial product of securities in the market backed by collaterals." What are the other features? Describe.	131
3	Explain the benefits of securitization from the prospective of both originator as well as the investor. OR "Securitisation is beneficial from the angle of various parties involved in it". Explain.	132
4	Distinguish between Primary participants and Secondary participants in securitization.	133
5	Discuss briefly the steps in securitization mechanism.	135
6	Explain the pricing of the Securitized Instruments. Or "While pricing the securitized instruments, it is important that it should be acceptable to both originators as well as to the investors". Explain.	136
7	Describe various securitization instruments. Or Describe the concept of 'Stripped Securities'.	136
8	Differentiate between PTS and PTC. Distinguish between Pass Through Certificates (PTC) and Pay Through Securities (PTS).	139
9	Describe the problems faced in the growth of Securitization of instruments especially in Indian context.	140
10	What are the various types of risks involved in a securitization transaction, and how do they impact investors at different stages of the transaction?	141
11	Discuss the Concept of Blockchain ORWrite Short Notes on Distributed Ledger Technology (DLT)	142
12	Explain the Applications of Blockchain	142
13	What are the Risks associated with Blockchain	143
14	Tokenization to some extent resembles the process of Securitization. Explain the term "Tokenization" and also illustrate the similarities between Tokenization and Securitization.	144
15	While in securitization the securities issued by SPV are backed by the loans and receivables the CDOs are backed by pool of bonds, asset backed securities, REITs, and other CDOs. Describe the main types of risk associated with investment in CDOs.	144
16	Write Short Notes on Securitization in India	145
Chapter 8: Mutual Funds		

1	What is Mutual Fund?	147
2	What are the Advantages of investing in Mutual Funds?	148
3	What are the Drawbacks of Mutual Fund?	149
4	Differentiate between 'Off-shore funds" and 'Asset Management Mutual Funds'.	150
5	Distinction between Open ended schemes and Closed ended schemes	150
6	Write Short Notes on Classification of Mutual Funds Or Index Funds is one of the Special Funds. What are other funds in Special Funds category?	151
7	Write a short note on Direct and Regular Plans of Mutual Funds. Also explain the difference between both	153
8	Write a short note on 'Money Market Mutual Fund'	153
9	Write a short note on factors affecting the selection of Mutual Funds.	154
10	Circumstances that indicate that it is time for an investor to exit a mutual fund scheme.	155
11	Explain the different methods for evaluating the performance of a mutual fund.	155
12	What is Entry and Exit Load?	156
13	What is Trail Commission?	156
14	What is Expense Ratio in Mutual Funds?	157
15	Side Pocketing enhances the value of the Mutual Fund. Do you agree? Briefly explain the process of side pocketing. EXPLAIN the concept of side pocketing in mutual funds.	157
16	What is Tracking Error?	158
17	Describe Tracking error. List the reasons for it. Or Explain how to measure divergence or deviation of return of a Mutual Fund Scheme that replicates any benchmark Index.	158
18	What are Exchange Traded Funds?	159
19	What are Fixed Maturity Plans?	160
20	The idea of Quant Fund is stock-picking free from human intervention. Discuss.	161
21	Discuss different types of Diversified Equity Funds	161
22	What are the two options for earning Income from Mutual Fund Schemes	162
23	Write short notes on Equity Linked Savings Scheme	163
24	Write short notes on 1. Sector Funds 2. Thematic Funds 3. Arbitrage Funds 4. Hedge Funds 5. Cash Funds	163
25	Quantitative and Qualitative Parameters can be used to evaluate the performance of any Mutual Fund. Discuss	165

26	Discuss the role of Fund Managers in Mutual Fund	166
27	Discuss the role of FIIs in Mutual Fund	167
Chapter 9: Derivative Analysis & Valuation		
1	What are derivatives? Who are the users and what are the purposes of use?	168
2	What is the importance of Underlying in Derivatives? Or What is the significance of an underlying in relation to derivative Instruments?	168
3	Distinguish between Cash and Derivative Market.	169
4	Explain cash settlement and physical settlement in derivative contracts and their relative advantages and disadvantages.	169
5	Distinguish between: Forward and Futures contracts.	170
6	What are the features of Futures Contract?	171
7	Explain Initial Margin and Maintenance Margin	172
8	Write a short note on Marking to Market	173
9	What are the types of Future Contracts?	174
10	Explain Going Long and Going Short on Futures.	175
11	What are the advantages of Futures trading vs Stock Trading? Or What are the reasons for Stock Index futures becoming more popular financial derivatives over Single Stock Futures segment in India?	177
12	Explain Cost of Carry Model or Define Contango and Backwardation/Inverted Market	179
13	Write a short note on Options Contract	180
14	Meaning of open interest and its relevance in the stock market.	182
15	Explain different payoffs scenario in option contracts for 1. Call Buyer 2.Call Seller 3.Put Buyer 4.Put Seller	182
16	Write a short note Intrinsic Value and Time Value of Option	186
17	Distinguish between Intrinsic value and Time value of an option.	187
18	Distinguish between future contract and option contract. Difference between Stock Futures and Stock Options	188
19	"Investing in Stock Futures differs from investing in Equity Options in several ways". Explain.	188
20	What are the factors affecting value of an option? OR Explain briefly the various factors that affect the value of an Option.	189
21	What is European Option and American Option	191

22	What are the Option Valuation Techniques	192
23	What are the assumptions of Black Scholes Model?	193
24	Write a short note on Option Greeks	193
25	Write a short note on Exotic Options	195
26	Difference between Traditional Options and Exotic Options	195
27	What are the different types of Exotic Options?	196
28	Write a short note on Credit Derivatives	197
29	Write a short note on Collateralized Debt Obligation (CDOs). What are the types of CDOs and risk involved in CDOs	198
30	Write a short note on Credit Default Swaps (CDS)	199
31	What are the main Features of Credit Default Swaps (CDS)	200
32	Explain Uses of Credit Default Swaps (CDS)	200
33	Explain Parties of Credit Default Swaps (CDS)	201
34	How Credit Default Swaps (CDS) are Settled	201
35	Discuss Real Options	202
36	What are the differences between Financial Options and Real Options. Explain how Real Options are different from Financial Options	202
37	What are the different types of Real Options	203
38	Write a short note on Commodity Derivatives	204
39	Write a short note on Necessary conditions to introduce 'Commodity Derivatives'	205
40	What are the advantages of Commodity Markets?	206
41	What are Commodity Futures?	206
42	What is Commodity Swap?	207
43	What are the Types of Commodity Swaps?	207
44	"Commodity swaps are characterized by some peculiarities". Explain. Or Write a note on Valuing Commodity Swaps.	208
45	Write a note on Hedging with Commodity Derivatives.	208
46	Write a note on Weather Derivatives.	209
47	What are the challenges faced in Pricing Weather Derivatives	210
48	Write short notes on Electricity Derivatives	210
49	What lessons can be learned from historical derivative mishaps, and how can organizations apply these lessons to manage financial risks effectively?	211
Chapter 10: Interest Rate Risk Management		
1	Explain how interest rates are determined?	213

2	What is Interest Rate Risk?	213
3	What are benchmark rates, and how have they evolved from LIBOR to Alternative Reference Rates (ARRs) in managing interest rate risk? Discuss their significance and provide examples from different regions.	214
4	Explain the significance of LIBOR in international financial transactions.	215
5	What are the various types of Interest Rate Risk?	215
6	Write short note on Gap Exposure and its Limitations	216
7	Write short note on Basis Risk	217
8	Write short note on Embedded Option Risk	218
9	What is Yield Curve Risk?	219
10	What is Price Risk and Reinvestment Risk?	220
11	What is Net Interest Position Risk?	220
12	What methods are used to Measure the Interest Rate Risk?	221
13	Explain the methods of Hedging Interest Rate Risk	221
14	What is Asset and Liability Management? Or Briefly explain Asset and Liability Management (ALM).	222
15	Write Short note on Forward Rate Agreement or What are the main features of Forward Rate Agreement (FRA)?	223
16	Write short notes on Interest Rate Futures	224
17	What do you mean by the term 'Cheapest to Deliver' in context of Interest Rate Futures? Or Explain in brief the following:	226
18	Write short notes on Interest Rate Options – Cap, Collars and Floors	227
19	Give the meaning of Caps, Floors and Collar options with respect to Interest.	229
20	Write short note on Interest Rate Swaps	230
21	Explain the meaning of the following relating to Swap transactions: (i) Plain Vanilla Swaps (ii) Basis Rate Swaps (iii) Asset Swaps (iv) Amortizing Swaps Explain the Types of Interest Rate Swaps	231
22	Define Interest Rate Swaption. State its principal features.	232
23	What are the uses of the Swaptions?	233
24	What are the Categories of Swaption Styles?	233
Chapter 11: Foreign Exchange Exposure and Risk Management		
1	What are the Market Participants in Forex Market?	234

2	What are the factors affecting exchange rate determination?	234
3	What are the techniques used in Exchange Rate Forecasting?	235
4	What do you mean by Merchant Rates?	235
5	Write short notes on PIPS	236
6	Discuss the role of SWIFT in Foreign Exchange	236
7	Write short notes on Payment Gateways	238
8	What are the benefits of Payment Gateways	238
9	Explain the Challenges that are hampering the growth of Payment Gateways	239
10	What do you mean by American Term and European Term	239
11	Write a short note on Interest Rate Parity Theory	240
12	Briefly discuss the concept of Purchasing Power Parity.	240
13	Write short note on International Fisher Effect	241
14	Discuss points of Comparisons of PPP, IRP and IFE Theories.	242
15	Operations in foreign exchange market are exposed to a number of risks. Or Write a short note on types of risks foreign exchange dealings are exposed to	243
16	What are the key reasons for the importance of foreign exchange risk management, and how does it benefit businesses?	243
17	How do exporters use natural hedging strategies to mitigate transaction exposure risk, and what are the benefits of using short-term foreign currency loans like PCFC and FCNR B Loans?	244
18	Write a short note on Leading and Lagging in context of forex market	245
19	Explain Meaning and Advantages of Netting. “Netting helps in minimizing the total value of intercompany fund flows”. Explain.	246
20	Write short note on Exposure Netting	247
21	Write a short note on Money Market Hedging. State its Advantages and Disadvantages	248
22	Explain the strategies for Exposure Management	248
23	Write a short note on Nostro, Vostro and Loro Account	250
24	All dealings in Foreign Exchange effect the Exchange Position whether delivery has taken place or not, but Cash Position is effected only when actual delivery has taken place. Explain.	251
Chapter 12: International Financial Management		

1	Discuss Project vis a vis Parent Cash Flows. OR There exists a vast difference between Project and Parent cash flow? What are these factors? Briefly discuss.	252
2	Explain complexities involved in International Capital Budgeting.	253
3	Explain the problems that are faced in International Capital Budgeting Decision and how these can be overcome. Or Explain the problems affecting affecting Foreign Investment Analysis	253
4	Write short notes on American Depository Receipts	255
5	Write short notes Global depository receipts.	256
6	What are the characteristics of GDR?	257
7	What is the impact of GDRs on Indian Capital Market?	257
8	Write short notes on Debt route for foreign exchange funds	258
9	Describe the salient features of Foreign Currency Convertible Bonds (FCCBs).	259
10	What are the Advantages of Foreign Currency Convertible Bonds (FCCBs)?	259
11	What are the Disadvantages of Foreign Currency Convertible Bonds (FCCBs)?	260
12	Write short notes on Euro Convertible Bonds	260
13	Write short notes on Instruments of International Finance	261
14	Write short notes on External Commercial Borrowings. OR External Commercial Borrowings (ECBs) are becoming an important source of financing. Discuss briefly its different aspects.	261
15	What are P-notes? Why it is preferable route for foreigners to invest in India?	262
16	Write short note on benefits of International Portfolio Investment.	263
17	What are the issues that need to be considered by an Indian investor and incorporated within the Net Present Value (NPV) model for the evaluation of foreign investment proposals?	263
18	What do you mean by International Financial Centre (Gift City)? What are the benefits of IFC?	264
19	What are the key constituents of an International Financial Center (IFC)	265
20	Write short notes on GIFT City	266
21	Write short notes on Sovereign Wealth Funds (SWFs)	267
22	Discuss the complexities involved in International Working Capital Management	268
23	Write a short note on Multinational Cash Management	269

24	What are the main objectives of International Cash Management?	269
25	How the centralized cash management helps MNCs?	270
26	What are the ways for optimization of Cash Inflows?	270
27	Discuss the investment of excess cash or surplus by MNCs? The technique of the optimizing cash flow movements and minimizing the total volume of inter-company fund flow with the combined efforts of the subsidiaries is the need of the hour. Discuss.	271
28	Write a short note on International Inventory Management? Or What do you mean by Stock Piling?	272
29	Write a short note on International Receivables Management?	272
Chapter 13: Business Valuation		
1	What is the need for the proper assessment of an enterprises value?	274
2	Write a note on Chop Shop Method of Valuation.	274
3	Explain how Cash flow-based approach of valuation is different from Income based approach and also explain briefly the steps involved in this approach.	274
4	Write Short note on Enterprise Value Model for Corporate Valuation	275
5	Relative Valuation is the method to arrive at a 'relative' value using a 'comparative' analysis to its peers or similar enterprises. Elaborate this statement. Or Write a short note on Relative Valuation	275
6	Relative Valuation approach is a significant departure from Intrinsic Value approach. Explain.	276
7	State the assumptions of Relative Valuation.	277
8	Write short note Economic Value Added	277
9	Write short note Market Value Added or "Market Value Added is an attempt to resolve some of the issues involved in Economic Value Added" Explain this statement	278
10	Differentiate between Economic Value Added (EVA) and Market Value Added (MVA)	278
11	Write short note Shareholders Value Analysis	279
12	What is the difference between Going Concern and Non-Going Concern Valuation, and how does each approach affect the valuation of a business entity?	279

13	What are the challenges involved in valuing distressed companies, and why are conventional valuation methods like Discounted Cash Flow (DCF) not suitable for such firms?	280
14	What are the steps of valuation of distressed firm?	281
15	Why do traditional valuation methods such as the income approach, asset approach, and market approach often fail when applied to new- age startups, and what are the specific challenges associated with each method?	282
16	What are the Key Drivers in Valuation of Start-ups	282
17	What are the Methods of Valuing Startups?	283
18	Write short notes on Berkus Approach of Valuing Startups?	283
19	Write short notes on Cost-to-Duplicate Approach of Valuing Startups?	284
20	Write short notes on Comparable Transactions Method of Valuing Startups?	286
21	Write short notes on Scorecard Valuation Method of Valuing Startups?	287
22	Write short notes on First Chicago Method of Valuing Startups?	289
23	Write short notes on Venture Capital Method of Valuing Startups?	290
24	What are Digital Platforms, and how can they be categorized based on the services they provide? Additionally, explain the key considerations in the valuation of digital platforms.	291
25	What are some examples of drivers of revenue for different types of digital platforms	292
26	Write short notes on VALUATION OF PROFESSIONAL/ CONSULTANCY FIRMS	293
27	What is the ESG framework, and what are its key components? How does ESG impact a company's strategy and value creation?	294
28	What are the recent developments in ESG, and how can ESG factors be incorporated into business valuation? Explain the impact of environmental, social, and governance factors on expected cash flows.	295
Chapter 14: Mergers, Acquisitions & Corporate Restructuring		
1	Define 1. Mergers 2. Acquisitions 3. Corporate Restructuring	297
2	Difference between Mergers, Acquisitions and Corporate Restructuring	298
3	Write short note on the types of mergers.	299

4	Unrelated companies come together to form an entity. What this relationship is called? Discuss briefly the features of this entity.	300
5	What are the common reasons for mergers and acquisitions (M&A), and how do they create value for the combined entity? Provide examples of synergies and other factors that drive M&A.	301
6	Explain how mergers, acquisitions, and business restructuring can unlock value for companies.	302
7	Synergy in the context of Mergers and Acquisitions or What is commercial meaning of synergy and how it used as a tool when deciding Merger and Acquisitions?	303
8	What key issues are addressed in the financial evaluation of a target company during an acquisition?	303
9	What are the key considerations and strategies involved in FINANCING AN ACQUISITION, and how do companies decide between using cash, stock, or a combination of both?	304
10	What are the problems for mergers and acquisitions in India?	305
11	Non-compete fee in mergers and acquisitions.	305
12	Explain the reasons why mergers fail to achieve their objective	306
13	Merger Failures or Potential Adverse Competitive Effects.	306
14	Explain Meaning and reasons for Reverse Stock Split up	307
15	What are the objectives for which amalgamation may be resorted to?	308
16	Explain the various Takeover Strategies.	308
17	How to defend a Takeover Bid (Antitakeover strategy)?	309
18	What is take over by reverse bid or Reverse Merger? When does it take place? Or Can a small company takeover a big company. What are the conditions for a company to be termed as big company?	310
19	What are the benefits of the Reverse Merger?	311
20	Explain the term “Demerger”.	312
21	What is Divestiture and what are the reasons for divestment or demerger?	312
22	Explain the reason for selling the company or Explain the sell side imperatives.	313
23	Explain the different ways of demerger or divestment. OR Write a short note on Demerger or Division of Family managed business.	313

24	Write a short note on Financial Restructuring	315
25	Discuss the various terms covered under Ownership Restructuring.	316
26	Explain the term 'Buy-Outs'.	318
27	What is the difference between Management Buy Out and Leveraged Buyout? State the purpose of a leveraged buyout with the help of an example.	319
28	Equity Curve Outs Vs. Spin Off	320
29	Write short note on Bought Out Deals (BODs).	321
30	Write a note on buy-back of shares by companies and what is the impact on P/E Ratio upon buy-back of shares?	321
31	State the consequences of Equity Buy Back.	322
32	What are the considerations and challenges in business valuation regarding premiums and discounts, and how do timing and market conditions affect valuation?	323
33	What are the five principal steps in a successful M&A programme.	324
34	Write short note on Cross Border M&A. OR "Cross-Border M & A is a popular route for global growth and overseas expansion." Do you agree or disagree? Justify your stand.	324
35	What are the major factors that motivate multinational companies to engage in cross-border M&A	325
36	Write a short note on Special Purpose Acquisition Companies (SPACs) OR Can a company with no commercial operations raise capital via an IPO? Discuss.	325
Chapter 15: Startup Finance		
1	What is Startup Finance?	327
2	What is a startup to avail the benefits of government scheme? OR Explain the conditions that need to be met for considering an entity to be called as a Startup.	327
3	NIYA Healthcare is a proprietary concern engaged in the manufacture and development of Pharmaceutical products since last five years.	328
4	Compare and contrast start-ups and entrepreneurship. Describe the priorities and challenges which start-ups in India are facing.	329
5	What are the sources of funding for the Startups? Or Non-Bank Financial Sources are becoming popular to finance start-ups. Discuss	330

6	Peer – to – Peer Lending and Crowd funding are same as traditional methods of funding. Do you agree? Justify your stand.	331
7	An individual attempts to found and build a company from personal finances or from the operating revenues of the new company. What this method is called? Discuss any two methods.	332
8	Explain Pitch Presentation. List the methods for approaching a Pitch Presentation.	333
9	Explain the basic documents that are required to make up Financial Presentations during Pitch Presentation.	334
10	What do you mean by the term Unicorn? State the features a Start-up should possess to be referred as a Unicorn	334
11	Write short notes on Angel Investors Or Briefly explain how Angel Investors finance the Startups.	335
12	Write short Note on Venture Capital Financing.	336
13	Explain the advantages of bringing venture capital in the company.	336
14	What are the characteristics of venture capital fund? Or Venture Capital Financing is a unique way of financing Startup'. Discuss.	337
15	Explain various stages of Venture Capital Funding. Venture Capital Funding passes through various stages. Discuss	337
16	Explain Indicative Risk Matrix of each stages of funding for Venture Capital Financing.	338
17	Discuss the Venture Capital Investment Process.	338
18	"In Deal Structuring, in many structures to facilitate the exit, the Venture Capital may put a tag-along clause". What do you mean by that clause? Explain Deal Structuring and Exit Plan to Venture Capital Investment Process.	339
19	Explain the structure of Venture Capital funds in India. Or "A Limited Partnership Entity, in India, is not recognized for the purpose of Venture Capital Fund." Do you agree? Briefly explain the structure of Venture Capital Fund in India.	340
20	Explain alternatives available to offshore investors for making investments in Venture Capital Funds in India.	341
21	Apart from the support from government, there are quite a few other reasons why India became a sustainable environment for start-up to thrive in. What are the other reasons?	342
22	What do you mean by Succession Planning?	342

23	Succession planning is a good way for companies to ensure that businesses are fully prepared to promote and advance all employees— not just those who are at the management or executive levels. Explain the above statement.	343
24	What are the four steps involved in creating a business succession strategy, and how does each step contribute to ensuring the successful transition of leadership within an organization, particularly in a family-owned business?	344
25	What are the key challenges faced by startups in implementing succession planning, and how do factors such as founder mindset, early growth stages, and the central role of founders contribute to these challenges?	344
26	Explain the term Business Model with help of an example.	345

Conferenza.in

SUBSCRIBE FOR 15 MTPS

TEST SERIES WILL GIVE YOU EDGE OVER OTHERS



PRACTICE MAKES YOU PERFECT

INDIA'S LEADING WEBSITE TRUSTED BY CA STUDENTS

VIDEO LECTURES - 23570+ ORDERS | BOOKS - 140000+ ORDERS